



INSURANCE AND PENSIONS COMMISSION

FUNERAL INDUSTRY REPORT

2nd Quarter ended 30 June 2019



2019

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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by the life assurers. The funeral business generated by life assurers is reported in the life assurance report.

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1. Executive Summary

- 1.1 The Gross Premium Written (GPW) by the nine (9) registered funeral assurers increased by 20.35% from \$20,97 million for the six months ended 30 June 2018 to \$25,24 million for the six months ended 30 June 2019. Reinsurance by funeral assurers remained low as the retention ratio stood at 99.94%.
- 1.2 The increase in GPW was attributed to an increase in recurring premiums from both individual and corporate business which increased by 37.00% and 7.00% respectively.
- 1.3 Profit before tax for the funeral assurance sector increased by 1,1174.96% from \$1,97 million for the six months ended 30 June 2018 to \$25,20 million for the six months ended 30 June 2019. This was driven by fair value adjustments by one funeral assurer on its properties, which resulted in an upward trajectory of profit before tax.
- 1.4 Management Expenses and commissions remain high when compared to claims as they accounted for 60.85% of total costs, whilst gross claims accounted for 39,15% of total costs.
- 1.5 Total assets increased by 133.01% from \$77,31 million as at 31 March 2019 to \$180,14 million as at 30 June 2019. The increase in the asset base was based on revaluations conducted by funeral assurers on their properties.
- 1.6 All funeral assurers are not compliant with the minimum Prescribed Asset (PA) ratio of 10.00% as announced in the 2019 National Budget Statement. 0.53% of total assets were invested in PA. Industry investments in PA decreased by 23.30% from \$1,25 million as at 31 March 2019 to \$961,000 as at 30 June 2019.
- 1.7 Four out of the nine funeral assurers reported capital positions below the regulatory minimum of \$2,50 million based on their unaudited financial statements as at 30 June 2019.
- 1.8 Total technical liabilities increased by 64.56% from \$20,50 million as at 31 March 2019 to \$33,74 million as at 30 June 2019.
- 1.9 The number of policies written increased by 28.06%, whilst the sum assured increased by 9.48% from 340,000 policies with a total sum assured of \$192,81 million for the six months ended 30 June 2018 to 435,000 policies with total sum insured of \$211,08 million for the comparable period in 2019.

1.10 Table 1 below indicates the key financial highlights for the funeral assurance industry as at 30 June 2019. Furthermore, Appendix 1, 2 and 3 show performance indicators, income statement and statement of financial position for each funeral assurer.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers		
	Jun-18	Jun-19	Change
Funeral assurers GPW (\$ 000)	20,973.00	25,240.00	20.35%
Total Gross Claims (\$ 000)	5,828.00	9,162.25	57.21%
Management Expenses (\$ 000)	9,531.00	12,193.16	27.93%
Commissions (\$ 000)	1,885.00	2,047.51	8.62%
Total Costs (\$ 000)	17,244.00	23,402.92	35.72%
Profit Before Tax (\$000)	1,977.00	25,206.02	1,174.96%
	Mar-19	Jun-19	Change
Total Assets (\$ 000)	77,311.65	180,146.34	133.01%
Total Liabilities (\$ 000)	40,859.54	57,875.21	41.64%
Capital - Net Assets (\$ 000)	36,452.11	122,271.14	235.43%
Capital to liability Ratio	89.21%	211.27%	122.05%
Prescribed Assets (\$ 000)	1,253.75	1,078.25	-14.00%
Prescribed Asset Ratio (%)	1.62%	0.60%	-1.02%
	Jun-18	Jun-19	Change
Total Number of Policies (\$ 000)	340.17	435.64	28.06%
Total Sum Assured (\$ 000)	192,813.49	211,089.97	9.48%

2. Performance in terms of Business Written

- 2.1 The funeral assurance industry's total GPW increased by 20.35% from \$20,97 million for the six months ended 30 June 2018 to \$25,24 million for the six months ended 30 June 2019.
- 2.2 Seven entities reported positive business growth. Funeral assurers accounted for 19.32% of the total funeral business written during the period under review, with life assurers accounting for the balance.
- 2.3 New business for both individual and corporate lines was down by 29.00% and 38.00% respectively. Recurring premiums from individual and corporate business increased by 37.00% and 7.00% respectively. A detailed breakdown of GPW per funeral assurer is

shown in Appendix 4, whilst a summary of the GPW per company is shown in Table 2 below.

Table 2: Gross Premium Written per Company (\$ 000)

	Name of Company	Jun-18	Jun-19	Change
1.	Doves	9,767.00	12,736.37	30.40%
2.	First Funeral	3,230.00	2,830.27	-12.38%
3.	Foundation	522.00	539.88	3.42%
4.	Moonlight	5,943.00	7,334.86	23.42%
5.	Orchid	15.00	23.94	59.62%
6.	Passion	616.00	673.76	9.38%
7.	Ruvimbo	292.00	267.42	-8.42%
8.	Sunset	40.00	110.16	175.41%
9.	Vineyard	548.00	723.34	32.00%
	Total	20,973.00	25,240.00	20.35%

3. Capitalisation

3.1 Five out of the nine funeral assurers reported capital positions above the regulatory minimum capital requirement of \$2,50 million based on their unaudited financial statements as at 30 June 2019.

3.2 The unadjusted capital position for funeral assurers ranged from \$0,51 million to \$46,82 million as at 30 June 2019, as shown in Table 3 below.

Table 3: Capitalisation Trend Levels

Company	Capital Position				
	Jun-18	Sep-18	Dec-18	Mar-19	Jun-19
Doves	17,704.00	16,636.01	17,665.70	17,084.15	46,829.68
First Funeral	5,948.00	5,911.79	5,829.53	5,829.53	9,110.73
Foundation	819.00	830.72	1,445.63	1,388.74	3,005.07
Moonlight	4,005.00	4,109.15	4,504.36	4,559.41	55,469.26
Orchid	701.00	693.66	711.68	711.68	711.28
Passion	582.00	549.30	535.86	556.83	511.22
Ruvimbo	2,175.00	2,245.30	2,466.17	2,445.85	2,445.85
Sunset	1,530.00	1,684.24	1,682.64	1,568.37	1,677.95
Vineyard	2,339.00	2,310.11	2,318.11	2,502.04	2,510.10
Total	35,803.00	34,970.28	37,159.68	36,646.58	122,271.14

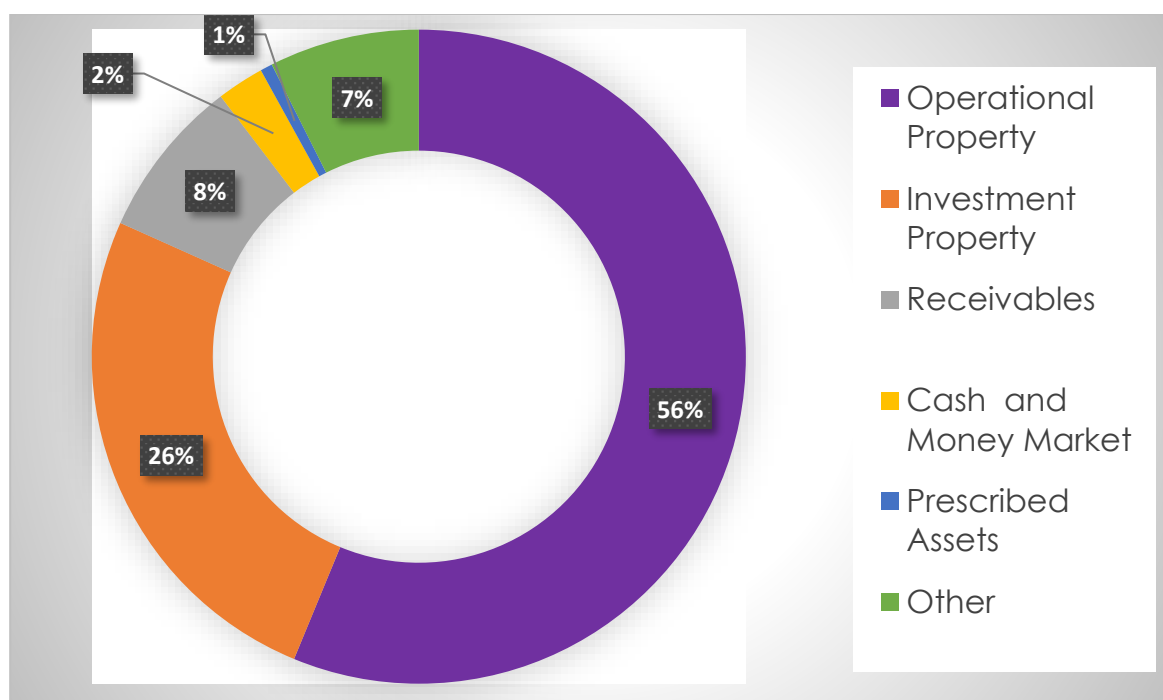
4. Asset Quality

4.1 Funeral assurers' total assets increased by 133.01% from \$77,31 million as at 31 March 2019 to \$180,14 million as at 30 June 2019.

4.2 The noticeable asset movement was attributable to revaluations done on properties due to currency reforms. This then resulted in funeral assurers holding approximately 80.00% of their asset portfolio in immovable assets.

4.3 As a result of the revaluations, the asset base for the funeral assurance industry is now concentrated in immovable property, with operational property constituting 56.00%, whilst investment property constitutes 26.00% of total assets as shown in Figure 1 below.

Figure 1: Breakdown of Assets



4.4 All funeral assurers continue to be non-compliant with the minimum Prescribed Asset (PA) ratio of 10.00% as announced in the 2019 National Budget Statement as only 0.53% of total assets were invested in PA. Industry investments in PA decreased by 23.30% from \$1,25 million as at 31 March 2019 to \$961,000 as at 30 June 2019. Table 4 below shows the compliance levels for each funeral assurer.

Table 4: Prescribed Assets for the Funeral Assurance Industry as at 30 June 2019

Company	PA Investments	Total Assets	Current PA ratio	Amount required to be compliant	Minimum required PA ratio
Orchid	-	4,050.27	0.00%	405.03	10.00%
Doves	654.79	60,069.38	1.09%	6,006.94	10.00%
First Funeral	10.85	14,364.46	0.08%	1,436.45	10.00%
Foundation	116.84	4,303.82	2.71%	430.38	10.00%
Moonlight	26.67	87,969.62	0.03%	8,796.96	10.00%
Passion	47.63	1,053.58	4.52%	105.36	10.00%
Ruvimbo	13.00	3,353.37	0.39%	335.34	10.00%
Sunset	-	1,910.35	0.00%	191.04	10.00%
Vineyard	91.26	3,071.50	2.97%	307.15	10.00%
Total	961.04	180,146.34	0.53%	18,014.63	10.00%

5. Reinsurance

The funeral assurance industry retained 99.94% of the business written for the six months ended 30 June 2019 whereas 0.06% of the business was reinsured.

6. Actuarial Matters

6.1 Total technical liabilities increased by 64.56% from \$20,50 million as at 31 March 2019 to \$33,74 million as at 30 June 2019. Future policyholder benefits were the major component of technical liabilities as they constituted \$33,64 million.

6.2 The Unearned Premium Reserve was \$68,000 and outstanding claims were \$4,000. The increase in the future policyholder benefits was a result of one funeral assurer applying a different set of assumptions in the reserving methodology in light of the changing macro-economic environment.

7 Earnings

7.1 Profit Before Tax for the funeral assurance industry increased by 1,174.96% from \$1,97 million for the six months ended 30 June 2018 to \$25,20 million for the six months ended 30 June 2019.

7.2 The increase in profit before tax was mainly attributed to one funeral assurer that recorded fair value adjustment on properties of \$22, 81 million.

7.3 Management Expenses and commissions remain high when compared to claims as they accounted for 60.85% of total costs, whilst gross claims accounted for 36,30% of total costs.

7.4 Claims ratio (net claims: net earned premiums) for the industry was 36.30% for the six months ended 30 June 2019.

7.5 Expenses (management, operation and administration) and commissions accounted for 56,37% of the combined ratio (92.72%).

7.6 A summary of the claims incurred, operating expenses, total costs for each funeral assurer for the six months ended 31 March 2019, is shown in Appendix A5.

8 Liquidity

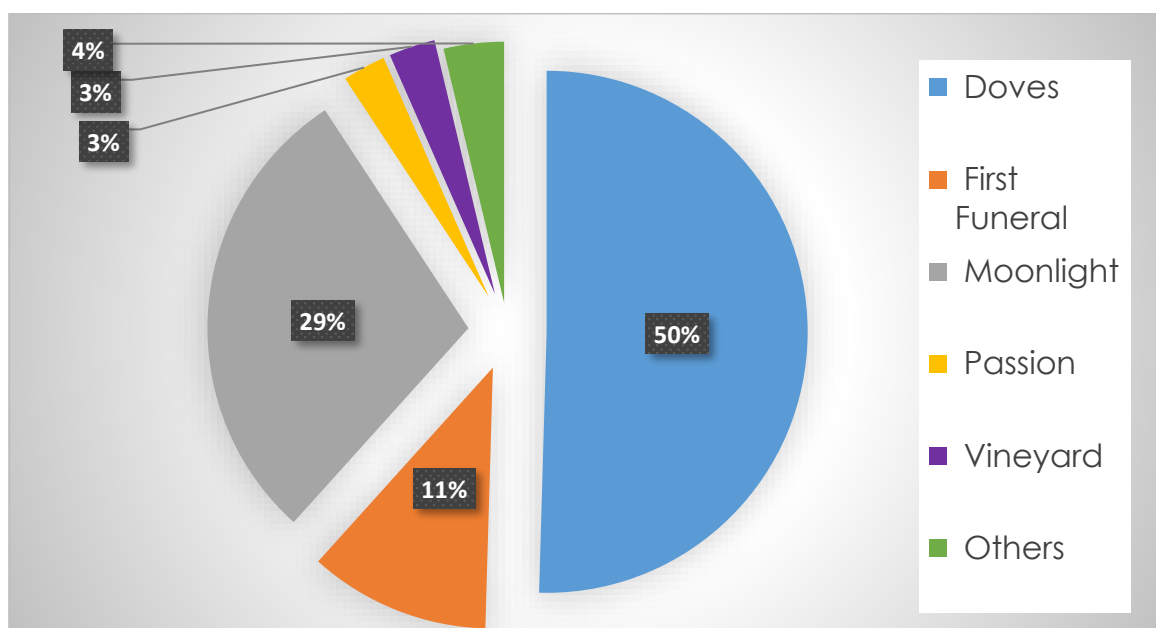
The industry had a negative working capital position of \$18,12 million as at 30 June 2019 as there were current liabilities worth \$22,52 million being supported by \$4,40 million of current assets.

9 Market Share

9.1 Three funeral assurers accounted for 90.00% of GPW written as at 30 June 2019 while the remaining six wrote 10.00% of the industry GPW.

9.2 Distribution of the market share in terms of GPW for the nine funeral assurers is shown in Figure 2 below.

Figure 2: Market Share in-terms of GPW





10 Funeral Assurance Industry Complaints

During the period under review, the Commission did not receive any complaints against funeral assurance players.



11 Appendix

Appendix A1: Key Performance Indicators for Funeral Assurance Companies										
	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position i.e Net Assets (\$ 000)	711	46,830	9,111	3,005	55,469	511	2,446	1,678	2,510	122,271
Capital Coverage Ratio (CCR)	28.45%	1873.19%	364.43%	120.20%	2218.77%	20.45%	97.83%	67.12%	100.40%	543.43%
Equity/Total Assets Ratio	17.56%	77.96%	63.43%	69.82%	63.06%	48.52%	72.94%	88.04%	81.72%	67.88%
Solvency Margin	22.81%	554.51%	203.88%	271.22%	347.56%	173.39%	0.00	74764.89%	740.40%	362.45%
Asset Quality										
Total Assets (\$ 000)	4,050	60,069	14,364	4,304	87,970	1,054	3,353	1,911	3,072	180,147
Investments to Total Assets	74.45%	70.86%	30.09%	7.94%	0.03%	66.93%	22.86%	0.02%	7.66%	28.85%
Non-Interest Generating Assets/Total Assets	25.44%	27.78%	69.29%	89.13%	99.83%	16.44%	58.08%	99.80%	90.19%	70.01%
Fixed Assets/Total Assets	25.21%	11.87%	30.20%	72.20%	91.13%	0.00%	51.88%	93.67%	65.52%	56.24%
Prescribed Assets Ratio	0.00%	1.09%	0.08%	2.71%	0.03%	4.52%	0.39%	0.00%	2.97%	0.53%
Premium Debtors/Gross Premium	29.44%	1.20%	198.43%	17.98%	101.32%	21.58%	71.74%	100.18%	71.96%	56.58%
Premium Debtors/Total Assets	0.17%	0.26%	39.10%	2.26%	8.45%	13.80%	5.72%	5.78%	17.95%	7.94%
Reinsurance										
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	97.64%	100.00%	100.00%	100.00%	99.94%
Actuarial										
UPR	67	0	0	0	0	0	0	0	1	68
Gross Outstanding Claims	0	0	0	0	2	0	0	2	0	4



Future Policyholder Benefits	3,051.499	8,445.225	4,468.744	1,108	15,958.2	294.838	0	0	337.517	33,664.023
Total Assets/Total Reserves	129.89%	711.28%	321.44%	388.43%	551.19%	357.34%	0	84917.91%	906.01%	533.99%
Earnings										
Profit After Tax (000)	-10.07	24,159.75	56.74	(72.20)	907.22	(6.61)	(9.42)	(11.33)	191.93	25,206.02
Return on Equity	-1.42%	51.59%	0.62%	-2.40%	1.64%	-1.29%	-0.38%	-0.67%	7.65%	20.61%
Return on Assets	-0.25%	40.22%	0.40%	-1.68%	1.03%	-0.63%	-0.28%	-0.59%	6.25%	13.99%
Loss(Claims) Ratio	55.83%	39.96%	31.00%	22.32%	35.89%	25.67%	13.69%	3.59%	29.17%	36.30%
Net Commission Ratio	0.00%	8.17%	22.44%	6.18%	3.22%	8.79%	0.00%	2.21%	5.48%	8.11%
Net Expense Ratio	86.22%	42.83%	42.96%	85.54%	54.45%	57.46%	81.99%	74.81%	47.84%	48.26%
Combined Ratio	142.05%	90.95%	96.37%	114.04%	93.57%	89.75%	94.43%	80.61%	87.37%	92.72%
Liquidity										
Current ratio	1,360.49%	24.55%	11.28%	61.15%	0.75%	34.65%	0.88%	1.66%	62.52%	20%
Liquid assets as a percentage of total assets	74.17%	1.39%	0.62%	2.71%	0.14%	8.14%	0.24%	0.20%	4.53%	2.44%
Market Shares										
Market Share Based on GPW	0.09%	50.38%	11.19%	2.14%	29.01%	2.66%	1.06%	0.44%	3.03%	100%
Market Share Based on NPW	0.09%	50.41%	11.20%	2.14%	29.03%	2.60%	1.06%	0.44%	3.03%	100%
Market Share Based on Total Assets	2.25%	33.34%	7.97%	2.39%	48.83%	0.58%	1.86%	1.06%	1.70%	100%
Efficiency										
Trade Payables	1,185.67	0.00	0.00	0.00	423.02	114.42	0.00	0.00	0.00	127.03



Appendix A2: Statement of Comprehensive Income for Funeral Assurers for the Period Ending 30 June 2019 (000)

	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	23.94	12,736.37	2,830.27	539.88	7,334.86	673.76	267.42	110.16	766.15	25,282.81
Reinsurance Premiums						15.89				15.89
Net Written Premiums	23.94	12,736.37	2,830.27	539.88	7,334.86	657.87	267.42	110.16	766.15	25,266.92
Increase/(Decrease) in UPR			1.22				24.31			25.53
Net Earned Premiums	23.94	12,736.37	2,829.06	539.88	7,334.86	657.87	243.11	110.16	766.15	25,241.39
Provision for Future Claims		1,244.36								1,244.36
Outstanding claims	10.22				1.83			2.25	22.21	36.50
Paid Claims	3.15	3,844.68	876.94	120.51	2,630.99	168.85	33.27	1.71	201.30	7,881.39
Net Claims	13.37	5,089.04	876.94	120.51	2,632.81	168.85	33.27	3.96	223.51	9,162.25
Net Commissions and Fees		1,040.71	634.76	33.34	236.44	57.83		2.44	42.00	2,047.51
Technical Result	10.58	6,606.63	1,317.36	386.03	4,465.61	431.19	209.84	103.77	500.64	14,031.64
Operating/Administration Expenses	9.93	5,454.51	1,215.97		3,430.68		219.25	59.60	39.97	10,429.91
Underwriting Profit/(Loss)	0.64	1,152.11	101.40	386.03	1,034.93	431.19	(9.42)	44.17	460.67	3,601.73
Management expenses	10.71			461.81	563.38	378.01		22.81	326.53	1,763.25
Investment Income				4.20	1.09	2.21			16.53	24.03
Unrealised Gains/Losses						(60.00)				(60.00)
Other expenses			212.27	9.76				36.65	34.61	293.29
Other Income		23,083.33	178.00	9.75	504.85			3.97	75.89	23,855.80
Profit Before Interest and Tax	(10.07)	24,235.45	67.13	(71.60)	977.50	(4.61)	(9.42)	(11.33)	191.96	25,365.01
Taxation			10.38	0.60		2.00				12.98
Interest Payments		75.70			70.27				0.03	
Profit After Tax and Interest	(10.07)	24,159.75	56.74	(72.20)	907.22	(6.61)	(9.42)	(11.33)	191.93	25,206.02
Transfer to policyholders funds				9.50	-					9.50
Retained Income	(10.07)	24,159.75	56.74	(81.70)	907.22	(6.61)	(9.42)	(11.33)	191.93	25,196.52



Appendix A3: Statement of Financial Position for Funeral Assurers as at 30 June 2019 (000)

	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Property and Equipment	1,021	7,133	4,337	3,108	80,167		1,740	1,790	2,013	101,308
Investment Property		39,865	4,279	225		640	767		120	45,896
Investments in Securities	16	2,683	44	36	27	60			42	2,907
Intercompany Investments										-
Other Non-Current Assets				90		47	618			755
Total Non-Current Assets	1,037	49,681	8,660	3,459	80,193	747	3,125	1,790	2,175	150,865
Technical Assets										
Total Technical Assets	-	-	-	-	-	-	-	-	-	-
Current Assets										
Cash & cash equivalents	4	815	89	36	123	81	8	4	66	1,225
Money Market Investments	3,000	20		81		5		0	73	3,179
Prescribed Assets						48	13			61
Inventory and Other Assets	2	9,400		632	222	28	16	7	206	10,513
Premium Debtors	7	153	5,616	97	7,432	145	192	110	551	14,304
Total Liquid Assets	3,004	835	89	117	123	86	8	4	139	4,404
Total Assets	4,050	60,069	14,364	4,304	87,970	1,054	3,353	1,911	3,072	180,147
Liabilities										
Deferred Tax Liabilities		828			6,224					7,052
Future policyholders benefits	3,051	8,445	4,469	1,108	15,958	295			338	33,664
Short term loans		681	500		1,254		42			2,477



Long term Loans		1,393			217					1,611
Current Tax provisions										-
Gross Outstanding Claims					2			2		4
UPR	67								1	68
Creditors	78				8,501	206				8,785
Amount due to related companies	143									143
Other Liabilities		1,893	285	191	344	41	865	230	222	4,072
Total Technical Liabilities/Reserves	3,118	8,445	4,469	1,108	15,960	295	-	2	339	33,736
Current Liabilities	221	3,401	785	191	16,323	248	908	230	222	22,528
Total Liabilities	3,339	13,240	5,254	1,299	32,500	542	908	232	561	57,875
Shareholders's Equity										
Share Capital	14	1,000	411		1,500	1,049	930	41	211	5,156
Share Premium	1,334		1,610						978	3,922
Revaluation & Other Reserves	268	3,276	3,727	3,087	67,111	430	1,011	1,792	36	80,738
Retained Profit	(904)	42,554	3,362	(82)	(13,141)	(968)	505	(151)	1,285	32,460
Shareholders Equity	711	46,830	9,111	3,005	55,470	511	2,446	1,682	2,510	122,276
TOTAL EQUITY & LIABILITIES	4,050	60,069	14,364	4,304	87,970	1,054	3,353	1,915	3,071	180,151



Appendix A4: Gross Premium Written Breakdown as at 30 June 2019

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)
Doves	42	76	82%	1,277	3,745	193%	238	255	7%	8,210	8,661	5%	9,767.00	12,736.37	30.40%
First Funeral	7	4	-41%	3,223	2,826	-12%	0	-	0	0	-	0	3,230.00	2,830.27	-12.38%
Foundation	4	4	-4%	250	536	114%	0	-	0	268	-	-100%	522.00	539.88	3.42%
Moonlight	228	117	-49%	5,715	7,218	26%	0	-	0	0	-	0	5,943.00	7,334.86	23.42%
Orchid	-		0	7	5	-28%	0		0	8	19	137%	15.00	23.94	59.62%
Passion	7	3	-56%	134	125	-7%	32	1	-97%	443	545	23%	616.00	673.76	9.38%
Ruvimbo	25	80	221%	116	187	61%	151	-	-100%	0	-	0	292.00	267.42	-8.42%
Sunset	40	5	-86%	0	105	100	0	-	0	0	-	0	40.00	110.16	175.41%
Vineyard	99	29	-71%	125	69	-45%	146	97	-33%	178	528	197%	548.00	723.34	32.00%
TOTAL	452	319	-29%	10,847	14,815	37%	567	353	-38%	9,107	9,752	7%	20,973	25,240	20.35%



Appendix A5: Cost and Earnings Analysis for the Funeral Assurance Industry as at 30 June 2019

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs (000)			Combined Ratio		
	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)	Jun-18	Jun-19	Change (%)
Doves	9,767	12,736	4%	2,905	5,089	75%	956	1,040	9%	3,445	5,454	58%	7,306	11,584	59%	75%	91%	16%
First Funeral	3,230	2,830	-12%	877	877	0%	589	634	8%	1,106	1,215	10%	2,572	2,728	6%	80%	96%	17%
Foundation	522	539	3%	76	121	59%	37	33	-10%	411	462	12%	524	616	17%	100%	114%	14%
Moonlight	5,943	7,334	23%	1,633	2,633	61%	224	236	6%	3,749	3,994	7%	5,606	6,863	22%	94%	94%	-1%
Orchid	15	24	60%	6	13	123%	-	-	0%	13	21	59%	19	34	79%	127%	142%	15%
Passion	616	673	9%	147	169	15%	47	58	23%	360	378	5%	554	605	9%	90%	90%	0%
Ruvimbo	292	267	-8%	47	33	-29%	-	-	0%	139	21	58%	186	253	36%	64%	94%	31%
Sunset	40	110	175%	10	4	-60%	1	2	144%	28	82	194%	39	89	128%	98%	81%	-17%
Vineyard	548	723	32%	127	223	76%	31	42	35%	280	367	31%	438	632	44%	80%	87%	7%
Total	20,973	25,240	20%	5,828	9,162	57%	1,885	2,047	9%	9,531	12,193	28%	17,244	23,403	36%	82%	93%	11%